

\$DRV: Owning the On-Chain Options Market

Derive (formerly Lyra) runs the dominant exchange for crypto options on-chain. The thesis: options are the next big market to move on-chain, as perpetual futures did, and Derive's network effect has positioned it to take most of that growth.

~84%

of on-chain options volume (30 days)

\$3.8B

September Options Volume, 7.6x YoY

35% → 50%

of fees to DRV buybacks V3 (proposed)

Oct 4 2026

V3 vote closes: move to Ethereum L1

1. On-Chain Options

Moving options on-chain is a fascinating challenge. Traders keep custody of their funds: collateral sits in smart contracts rather than on an exchange's balance sheet, so there's no FTX-style risk of the venue losing customer money. Everything is transparent, with open interest, collateral and liquidations visible to anyone in real time. Settlement is automatic, so expiries, margin calls and payouts run on code, 24/7, for anyone with a wallet. On-chain options are also composable: vaults, structured products and other DeFi apps can plug straight into the order book, which a centralized exchange can't offer in the same way.

Derive is the leading on-chain options venue. Their dominance is attributable to a couple of key metrics, starting with liquidity. It handles about 84% of on-chain options volume, roughly 15 times the next venue, Paradex. That depth is what market makers need. Derive also offers portfolio margin, so one account covers options, perps, and spot together, and traders post less collateral than they would across separate accounts. Finally, it has a long head start. Derive has run on-chain options since 2021, when it was called Lyra, and market makers already have their pricing and risk systems connected to it. A competitor would have to win all of that over before it could compete on price.

We have seen firsthand across AI, advertising, and rideshare programs how strong network effects are for the first mover. That is exactly what Derive has captured by being first to the on-chain options space.

2. What is Derive

- An on-chain options exchange built for professionals. Traders keep custody of their funds, and every trade settles on a blockchain, but it works like Deribit: an order book, market makers quoting prices, and portfolio margin across options, perpetuals, and spot.
- Revenue comes from trading fees: \$0.50 per trade plus up to 0.03% of notional, plus matching, liquidation, and interest fees. That was \$5.8M of fees over the last 12 months, running at ~\$7.9M a year in September (DefiLlama).
- The DRV token governs the protocol. 35% of fees buy back DRV every week (84+ weekly buybacks, ~27.6M DRV bought so far). About 68% of circulating DRV is staked. V3 proposes to increase the buyback fee to 50% of fees.

3. Why Derive Keeps Taking Options Share

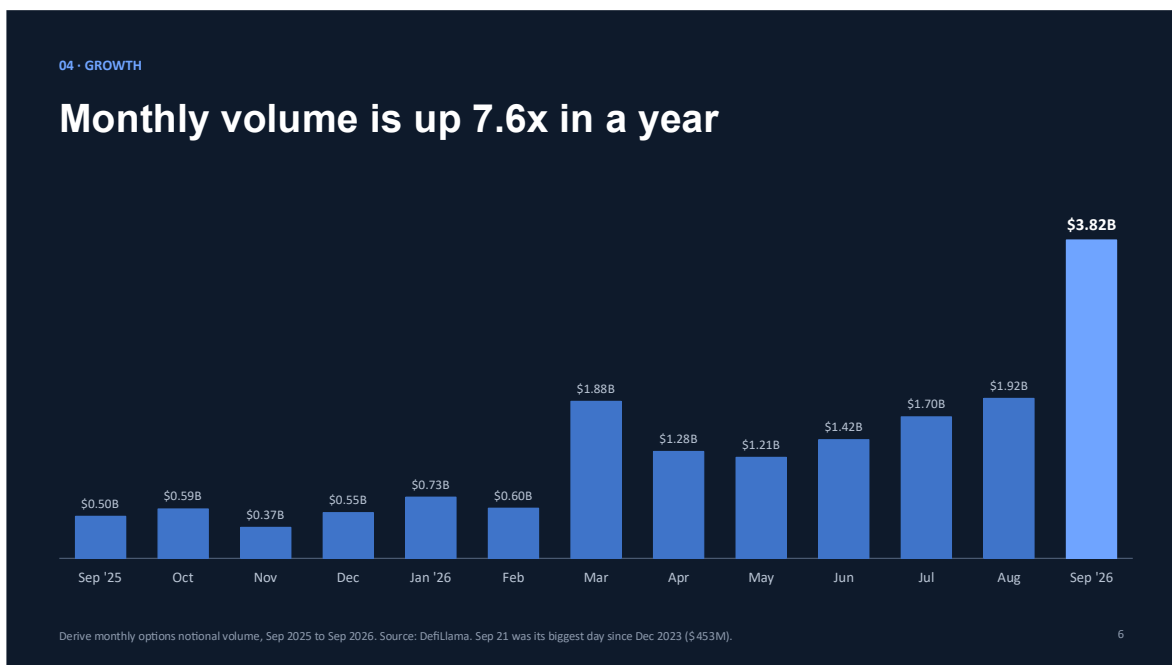
Options venue (last 30 days)	Volume	Share of on-chain
Derive	\$3.82B	84%
Paradex	\$0.26B	6%
Rysk	\$0.14B	3%
Prodigy, CallPut, Aevo, Panoptic and others	\$0.31B	7%

- Liquidity attracts more liquidity. Options split across hundreds of strikes and expiries, so market makers concentrate where the order flow is. That gives the tightest prices, which brings more flow. This is why options markets tend toward one winner, and on-chain, Derive is that winner.
- It's the neutral alternative to Deribit. With Deribit now owned by Coinbase, some professional desks, especially in Asia, want a venue no exchange owns. At its March peak, Derive was already doing ~8% of Deribit's daily volume, more than any on-chain venue has managed before.
- V3 makes it easier for institutions to use. The proposal (vote closes Oct 4) moves Derive to a zero-knowledge exchange that settles on Ethereum mainnet, the security standard institutions already trust. It also splits risk into separate books so tokenized stocks and other real-world assets, and more altcoins, can be listed faster (which is shown firsthand with how fast they listed \$LIT).

4. Why on-chain options can keep growing

- Perpetual futures already moved on-chain. A few years ago perps traded almost entirely on centralized exchanges. Today Hyperliquid earns ~\$920M a year in fees. Options are the next product in line, and Derive's volume in 2026 so far (\$14.2B) is already 2.6x all of 2025.
- New buyers are arriving. Vaults and structured products that sell options for yield, tokenized assets that need hedging, and DeFi apps that can plug directly into an on-chain options book all add demand a centralized exchange can't serve the same way.

- There's a lot of room left. Even with 84% of on-chain options, Derive is a single-digit share of Deribit. Each extra point of share it takes from the centralized market is a large gain relative to its current size.



5. Valuation

DRV is not cheap today: its \$387M market cap is ~95x the last 12 months of revenue (\$4.1M) and ~63x September's pace. Buybacks (~\$1.4M a year) are also still smaller than the new DRV paid to stakers (100K a week, ~\$2.0M a year). The bet is that both improve together. The table shows what volume growth alone does at September's fee rate (~1.35 bps):

Monthly options volume	Annual revenue	Market cap ÷ revenue
\$3.8B (September)	~\$6.2M	~63x
\$7.6B (2x)	~\$12.4M	~31x
\$15B (4x)	~\$24.7M	~16x

Meanwhile, governance keeps shifting more value to holders: the April vote raised buybacks from 25% to 35% and cut staking emissions 60%, and DIP 324 would raise buybacks to 50%. At that level, buybacks would cover ~82% of staking costs (Alea Research).

6. What to watch

- **Oct 4:** the result of the V3 vote, followed by migration timing.
- **DIP 324:** whether the buyback increase to 50% passes, and whether community pushback demands a higher %
- **Monthly revenue:** whether it holds above \$500K now that the September spike is over.

Sources: DefiLlama (fees, revenue, options volume, TVL); CoinGecko (price, supply); Robinhood quote; Alea Research, "A 50% Buyback Meets a Tripled Token"; Derive forum DIPs 313, 322 (V3) and 324; FalconX, "Exploring Derive's Record Options Surge"; AMBCrypto; FX News Group (Gold-i). Data as of Oct 1, 2026. For discussion only, not investment advice.